

LATE COMPANY

A place for late work and good company.

Business plan and Metro Detroit location research

A member lounge with quiet work, low-pressure social time, coffee and packaged food. Test hosted evenings first, then evaluate controlled access during approved unstaffed hours.

PRIMARY CONCEPT	BASE CAPITAL REQUIREMENT
Hosted evenings + restricted member access	\$344,473
Conditional on food, building, insurance and response arrangements.	Includes startup, peak operating deficit and three months of fixed costs.

The decision now is whether to test paid demand. A permanent lease and a 24-hour launch are later decisions.

All Late Company prices, costs, volumes and margins are assumptions unless a verified source is identified. The conservative member-lounge scenario loses \$150,117 in year one. No customer demand, site approval or vendor pricing is guaranteed.

Late Company

Business model and operating plan

Concept study dated October 3, 2026. Working name only. No location, lease, launch date, vendor or operating permission has been selected.

Recommendation

Test a welcoming member lounge for people who want company and a place to work after ordinary cafes close. Build around quiet work, low-pressure social time and a short food menu. The promising automation thesis is **hosted evenings plus controlled member access during approved unstaffed hours**. Human hospitality, cleaning, maintenance and incident response remain paid parts of the business.

Start with six paid evenings inside a suitable existing venue. Prove repeat use, willingness to pay and a workable quiet/social split before pursuing a permanent lease. Treat 24-hour access as a service to validate with regulators, the landlord and an insurer. A fully staffed 24-hour cafe is a useful cost comparison, but it is a substantially different operating commitment.

The main planning case reaches a positive first-year operating result only if membership grows from 70 to 220 and the restricted-access format is approved. The conservative case loses about \$150,000 in the first year. These are calculations from assumptions, not predictions or evidence of demand.

1. What people come here to do

- Finish a project in a comfortable place when home is distracting.
- Be around other people without having to perform socially.
- Meet a friend for a board game, a conversation or parallel work.
- Establish a recurring evening routine that does not revolve around alcohol.
- Find reliable internet, power, seating and a clean bathroom after a shift.
- Move between focus and social time without leaving the building.

The room is the product. Coffee and snacks support the visit. The brand should feel like a place people can belong, with a host who remembers them and an easy way to join a table. Avoid turning every evening into networking, loud entertainment or a sales event.

A proposed 40-seat layout has 22 quiet seats and 18 social seats in about 2,000 square feet. Separate the zones acoustically, place calls away from both, make outlets and accessible circulation easy, and keep the host's sightlines clear. Forty seats is a design assumption that must fit the measured floor plan and approved occupant load.

Customer hypotheses to test

Segment	Job	Why they might pay	Evidence needed
Remote workers, freelancers and creators	Focus outside the house after dinner	Reliable seat, internet, routine and company	Paid repeat sessions, dwell time and monthly-plan conversion
Night-shift and nontraditional-schedule workers	A useful place before or after work	Hours that fit their life	Actual arrival/departure distribution, employer-area demand

Segment	Job	Why they might pay	Evidence needed
Adults and students age 18+	Quiet study with nearby social space	A calmer, more dependable alternative to an open cafe table	Price response and repeat use outside exam periods
Friend groups and solo newcomers	Low-pressure social time	Hosted games and an easy introduction	Return visits, solo-to-group participation, comfort scores
Small local communities	A recurring place to gather	Predictable schedule and reserved space	Organizers who bring paying participants repeatedly

No segment size or willingness to pay has been established. Bamboo already offers 24/7 coworking, so hours alone are not sufficient differentiation. Late Company must demonstrate a welcoming evening culture, simple session access and usable social space. Bamboo

2. Business model canvas

Canvas block	Working model
Customer segments	Night-oriented remote workers, creators, adult students, shift workers and small friend groups within a practical evening drive. Begin with two segments that show repeat paid use.
Value proposition	A comfortable late-night third place with distinct quiet and social zones, dependable access, simple pricing, clean facilities and friendly hosting. Members buy time, reliability and belonging.
Channels	Concept site with clearly labeled proposed hours and prices; local search once real hours exist; recurring community calendars; referral invitations; nearby employer, college and apartment partnerships after authorization. Measure paid attendance by channel.
Customer relationships	Warm first-visit welcome, a short orientation, clear house rules, opt-in table introductions, a visible human contact and prompt issue resolution. One membership account manages reservations, entry, receipts and support.
Revenue streams	Monthly visit plans, session passes, coffee and packaged food. Later possibilities include small-group reservations and employer plans. The forecast gives these later ideas no revenue credit.
Key activities	Host evenings, manage noise and capacity, recruit and retain members, maintain access systems, replenish retail, clean, inspect equipment, train staff, handle incidents and review unit economics weekly.
Key resources	A suitable second-generation space, separate quiet/social areas, trained hosts, approved food setup, secure access, dependable internet, a retail system, cleaning capacity, an accountable manager and adequate working capital.
Key partners	Pilot venue; landlord; local food regulator and city reviewers; licensed food/coffee suppliers; equipment and access vendors; payroll/bookkeeping; insurer; contracted human response and maintenance providers. None is committed.
Cost structure	Paid labor and response coverage, rent/NNN, utilities, equipment/buildout, insurance, software, cleaning, repairs, food cost/waste, payment fees and member acquisition. Owner work is priced at replacement cost.

3. Price and product tests

All prices below are proposed tests, before any applicable tax. They are not current offers.

Product	Test price	Proposed scope
Session pass	\$18	Up to 4 hours during public hosted hours
Extended pass	\$28	Up to 8 hours within the public hosted window
Six-visit plan	\$99/month	Six sessions of up to 4 hours during hosted public hours
Twelve-visit plan	\$199/month	Twelve sessions of up to 4 hours, including approved restricted-access hours
Food and drink	Separate purchase	Small, clear menu with item prices and allergen information

Unused visits do not roll over in this model. Extra visits require a pass. Reservations, capacity, access orientation and published conduct rules apply. The twelve-visit plan has broader access and twice the visits; it is not unlimited access to a seat. Refund, cancellation and renewal terms need a clear consumer review before sales.

The forecast assumes a 70%/30% mix of session and extended passes, yielding \$21 per pass. Membership revenue per member is \$134 conservative, \$149 base and \$164 upside, reflecting 35%, 50% and 65% uptake of the twelve-visit plan. Average actual use is 6, 8 and 9 visits per member per month. This is within each scenario's weighted included visits, but high utilization is a real capacity risk.

A 3.5-hour average visit is an assumption across actual arrivals. Selling an 8-hour pass does not mean that every buyer stays 8 hours. Record the distribution in pilots and re-run capacity with actual behavior.

Social programming

- Monday: quiet work club with optional check-in and a shared break.
- Tuesday: bring-a-project night with a clearly marked social table.
- Wednesday: host-led beginner board games.
- Thursday: a low-pressure community table for people arriving alone.
- Friday and Saturday: open games, puzzles and relaxed conversation.
- Sunday: planning, reading and a reset for the week.

The quiet zone remains quiet during every event. Activities are included with ordinary admission in the model. No separate event ticket is counted on top of a pass for the same person. Keep amplified entertainment and large private bookings outside the initial scope.

4. Three operating formats

Schedules below are planning choices, not legal staffing mandates. All three require the appropriate food, building and operating approvals.

Format	Hosted public hours	Other access	Paid hours/week	Payroll/month	Fixed costs/month
Conditional member lounge, primary test	4pm to 2am daily	Restricted approved members 2am to 4pm	122	\$13,811	\$27,231

Format	Hosted public hours	Other access	Paid hours/week	Payroll/month	Fixed costs/month
Conditional broader hybrid	10am to 2am daily	Restricted approved members 2am to 10am	226	\$25,262	\$38,682
Fully staffed 24/7 comparison	All hours	Staffed access	310	\$34,289	\$45,589

The conditional formats include a \$2,000 monthly human response allowance and \$120 additional access software. The full format chooses a second host from 6pm to 6am daily. This is a conservative hospitality/security choice, not a claim that the law requires two people overnight.

Staffing arithmetic

Member lounge: one host for 10 hours x 7 days = 70 hours. A second host Thursday through Saturday, 6pm to midnight = 18 hours. Cleaning 2 hours x 7 = 14. Management 20 hours. Total 122, or 3.05 forty-hour equivalents. A practical roster likely uses 4 to 6 people and a separate response provider. No individual is assumed to work all primary shifts.

Broader hybrid: primary hosts 16 hours x 7 = 112. Second host 8 hours x 7 = 56. Paid handoff time 7. Cleaning 21. Management 30. Total 226, or 5.65 forty-hour equivalents.

Full coverage: primary hosts 24 hours x 7 = 168. Second host 12 hours x 7 = 84. Paid handoff time 7. Cleaning 21. Management 30. Total 310, or 7.75 forty-hour equivalents.

Wage assumptions are \$20/hour for hosts, a \$2 premium on the primary late shift, \$22 for cleaning and \$28 for management, plus 20% for employer costs and relief. The lean plan has no separate handoff line: transitions and required breaks must fit the roster or add paid coverage. Four more staffed hours each day would add about \$2,912 per month.

Michigan's stated minimum wage is \$13.73 from January 1, 2026, with \$15 scheduled for January 1, 2027. The model uses higher wages. Minimum wage alone does not resolve overtime, sick-time, coverage or on-call employment obligations. A payroll review is required before hiring. Michigan LEO

The manager line values owner work at its replacement cost: about \$2,912 per month including the assumed load in the member-lounge format. It is an operating cost, not extra distributable profit. If managing the business takes more than 20 hours a week, increase the line. No unpaid founder shifts are assumed.

What automation handles

Access credentials and booking limits; cashless purchases and receipts; stock alerts; fridge-temperature alerts where approved; basic member support; draft staffing schedules; utilization reports; incident routing; and daily task reminders. Use one operations dashboard with a human owner for each task.

Humans welcome and orient guests, moderate noise and conduct, handle food responsibilities, clean toilets and tables, restock, maintain equipment, respond to alarms and emergencies, and decide complaints or membership restrictions. AI cannot be the sole emergency dispatcher or person physically responsible for the site.

Restricted-access operating requirements

A new visitor checks in with a host before receiving restricted access. Guests do not inherit entry rights. Entry logs and remote monitoring have a stated privacy policy. The approved access design must preserve emergency egress, work through realistic outages and support direct human help. Camera placement and retention should be reviewed; no cameras in bathrooms.

The response budget assumes a \$1,200 retainer, \$400 for ten one-hour responses at \$40 and \$400 contingency. These are placeholders, not an available service quote. Require a named responder, service scope, measurable response target,

escalation plan and backup. An absent responder, a serious unresolved incident, failed critical access hardware or unsafe conditions closes restricted access until resolved.

5. Food and approval questions that determine the format

Keep the first menu narrow: commercially packaged snacks and drinks, plus coffee only within an explicitly approved operating arrangement. A full kitchen, alcohol and an espresso-heavy menu are outside the forecast.

Michigan's licensing guidance says most food and drink operations need a license and describes limited exemptions. Having packaged food does not by itself establish an exemption. Get the proposed menu, service windows and floor plan classified by the responsible agency before designing the buildout. [MDARD licensing](#)

MDARD's person-in-charge guidance explains the requirement for an accountable person during retail food operations. A remote chatbot is not evidence of compliance. Confirm which hours require a physically present person, required qualifications and whether any approved separation of food service and member access is possible. [MDARD person in charge](#)

The reviewed Food Law definition of a micro market includes commercially packaged, individually labeled food; automated payment; access limited to a defined population rather than the general public; limited consumer preparation; continuous video; and specified refrigerator/freezer door and temperature-lockout features. A paid membership does not automatically establish eligibility. The same law also treats a vending location operated by a food-service establishment on its premises as part of that establishment. The agency must assess this proposed combined use. The PDF reviewed was rendered November 21, 2025; confirm subsequent amendments when applying. [Michigan Food Law, sections 289.1107 and 289.1109](#)

Before a lease becomes binding, obtain written answers for:

1. Food classification, licensing authority, permitted products, PIC coverage, refrigeration, cleaning, handwashing and plan review.
2. Zoning/use, permitted hours, parking, accessibility, egress, occupant load, signs and any change of use.
3. Landlord acceptance of hours, access systems, food service, HVAC operation, alterations and nighttime visitors.
4. Insurance terms for the exact mixed use, public hours and restricted unattended hours, including exclusions and security conditions.
5. Human response coverage and closure procedures.
6. Tax treatment of memberships, admission, food and drinks; employment and on-call rules.
7. Actual contractor, equipment, internet, utility, CAM/NNN and insurance quotes.

No legal conclusion or regulatory approval is implied by this study.

6. Economics

All dollar values in the model are planning assumptions unless a source is explicitly identified. Full monthly data and formulas are in **economics.json**. **verify-model.mjs** recalculates the arithmetic and checks the saved results.

Operating cash contribution here means revenue less food cost, card fees, paid labor and listed overhead. It excludes income tax, debt service, depreciation and any owner distribution beyond the priced manager role. It is not accounting net profit.

Monthly overhead

The model holds the same occupancy and most overhead across formats so the staffing difference is visible.

Cost	Monthly allowance
Rent and NNN/CAM	\$4,750
Electricity, gas, water and waste	\$1,400
Internet and backup connection	\$350
Insurance	\$700
Core software	\$550
Repairs and equipment reserve	\$600
Cleaning supplies	\$300
Bookkeeping	\$400
Music licensing allowance	\$100
Games and programming	\$500
Marketing	\$1,500
License/permit renewal reserve	\$150

The \$4,750 occupancy input assumes \$3,750 base rent plus \$1,000 pass-through on 2,000 square feet, equivalent to \$28.50/SF/year. No specific listing is priced into it. Compare each actual site's area, rental basis, pass-throughs, HVAC costs and permitted use in the separate location research before substitution.

The \$1,400 utility allowance must be replaced by historic bills and the proposed 24-hour HVAC load. DTE has different business rate structures; a single residential-style cents-per-kWh assumption is insufficient for a site decision. DTE pricing options

Insureon publishes median coffee-shop BOP and cyber premiums of \$126 and \$129 per month on its September 16, 2026 cost page. Those customer data do not price this mixed use. The \$700 allowance remains unquoted. Workers' compensation is included in the payroll-load allowance rather than added to the \$700 line; avoid double counting when replacing both with quotes. Insureon cost data

Demand and food assumptions

The reference full-service scenarios grow from 40 to 120, 70 to 220, and 100 to 260 members. Reference monthly pass sales grow from 160 to 350, 300 to 650, and 400 to 800. The conditional member lounge receives 70% of reference pass demand, and its food attachment is 65% of reference attachment to reflect shorter hosted hours and a more packaged-food mix. The broader hybrid uses 95% of pass demand and 90% of food attachment.

The member-lounge base case therefore sells 455 passes in month 12, alongside 220 members. Its food attachment is 35.75%, average food ticket \$7, food cost 50% and spoilage/shrink 3% of food revenue. Card fees are a planning allowance of 3% of revenue plus \$0.15 per payment. Membership, pass and food payments are treated separately.

The same membership ramp across operating formats is an unproven comparison assumption. Restricted hours, limited hospitality or unavailable hot drinks could reduce willingness to pay. Do not interpret the lean model's margin as evidence that customers accept those tradeoffs.

Twelve-month scenario results

Operating format	Scenario	Year 1 revenue	Year 1 operating cash	Month 12 operating cash	First positive month
Conditional member lounge with hosted evenings	conservative	\$192,281	-\$150,117	-\$6,043	None
Conditional member lounge with hosted evenings	base	\$394,676	\$30,034	\$16,053	6
Conditional member lounge with hosted evenings	upside	\$572,873	\$166,891	\$28,047	3
Fully staffed 24/7	conservative	\$222,487	-\$345,321	-\$21,502	None
Fully staffed 24/7	base	\$461,002	-\$137,157	\$3,944	11
Fully staffed 24/7	upside	\$676,194	\$28,354	\$18,489	6
Conditional staffed social hours plus restricted overnight access	conservative	\$216,248	-\$266,912	-\$15,113	None
Conditional staffed social hours plus restricted overnight access	base	\$446,483	-\$64,240	\$9,675	9
Conditional staffed social hours plus restricted overnight access	upside	\$652,751	\$95,450	\$23,692	4

The member-lounge base case has 5% assumed monthly churn. Achieving the net ramp requires approximately 251 gross new memberships during year one, in addition to the starting 50. Marketing spend alone does not prove this acquisition rate. Track channel cost, paid conversion and retention in the pilot.

Break-even and sensitivity

At the member-lounge base economics, contribution is approximately \$153 per member per month and \$21 per pass visit, including expected food contribution. Break-even is approximately **115 members plus 455 passes per month, or 179 members with no passes**, at the same tier mix and use. The second expression is a mathematical sensitivity, not an assumed marketing outcome.

The fully staffed base model requires about **196 members plus 650 passes per month**. Its base first-year operating loss is about \$137,000 despite becoming positive in month 11.

For the member-lounge base case in month 12:

- A 25% reduction in both membership and pass volume reduces monthly operating cash from about \$16,053 to \$5,232.
- Raising all hourly wages by \$2 adds about \$1,269 per month.
- Adding four staffed hours daily adds about \$2,912 per month.
- Another \$1,000 of rent/NNN reduces operating cash by \$1,000.
- Removing food contribution reduces operating cash by about \$2,320.

These are isolated sensitivities. Several adverse changes together can consume the apparent margin.

Capacity

Forty seats x 24 hours x 365/12 days provides 29,200 theoretical monthly seat-hours. The six-hour evening peak provides only 7,300. Use an 80% practical peak ceiling, or 5,840 occupied seat-hours, to allow seating choice and operational slack.

The member-lounge base month uses about 7,753 seat-hours overall and 64% of theoretical evening peak capacity. The full-service upside assumes only 52% of visits' seat-hours fall in the peak window and reaches about 78% of peak capacity. At a 60% concentration it would reach about 90%, which exceeds the practical limit.

Full-redemption stress: if every base-case member uses all included visits for four hours and each pass buyer stays for the purchased duration, the member-lounge month-12 peak rises to about 85%. The fully staffed base case rises to about 93%. In the member-lounge base mix, roughly 204 members with 455 passes fit the 80% peak ceiling under that stress, versus the forecast's 220 members. Reservations and measured usage must set the actual sales cap. The full-service upside exceeds theoretical peak capacity under full redemption. Do not sell a prepaid visit promise that recurring turnaways make unusable.

These are averages, not booking guarantees. The model assumes demand splits 55% quiet and 45% social, matching the seat mix. If quiet demand rises to 70%, the quiet zone can fill while social seats sit empty. Use 15-minute occupancy by zone, booking denials and actual dwell time to cap sales. More memberships are not free revenue once their usage occupies the room.

7. Startup cost and cash needed

This is an illustrative second-generation space. A raw shell, major HVAC replacement, structural work, extensive accessibility changes or full kitchen could exceed the high case. No landlord improvement contribution is assumed.

Startup item	Low	Base	High
Lease/security/utility deposits and legal review	\$10,000	\$16,000	\$25,000
Design, permit, accessibility and engineering reviews	\$6,000	\$12,000	\$22,000
Second-generation space work, plumbing, electrical, finishes, acoustics	\$35,000	\$75,000	\$150,000
Furniture, quiet desks, lounge seating and lighting	\$14,000	\$24,000	\$40,000
Coffee, water, refrigeration, food storage and retail equipment	\$8,000	\$16,000	\$30,000
Access, cameras, network, POS, duress and installation	\$8,000	\$14,000	\$24,000
Opening inventory, games, supplies and signs	\$3,500	\$6,500	\$10,000
Preopening insurance, training, payroll and launch	\$10,000	\$18,000	\$30,000
20% contingency	\$18,900	\$36,300	\$66,200
Full-coverage reference startup	\$113,400	\$217,800	\$397,200

Startup item	Low	Base	High
Restricted-access increment, including contingency	\$6,000	\$12,000	\$24,000
Conditional formats startup total	\$119,400	\$229,800	\$421,200

Coffee/retail equipment allowances cover a modest commercial coffee setup, filtration, refrigeration, approved retail hardware and storage. Brand/product pages can inform specifications, but no installation-inclusive supplier quote is in hand. Verify electrical, plumbing, commercial approval and temperature-lockout requirements before buying. BUNN commercial equipment

The capital calculation is **startup including contingency + maximum cumulative first-year operating deficit + three months of fixed costs held as a reserve**. It does not assume annual prepaid memberships finance losses.

Member-lounge scenario	Base startup	Peak operating deficit	Three-month reserve	Total capital
Conservative	\$229,800	\$150,117	\$81,694	\$461,610
Base	\$229,800	\$32,979	\$81,694	\$344,473
Upside	\$229,800	\$6,748	\$86,062	\$322,610

At base demand, changing only the startup estimate gives a member-lounge capital range of about \$234,000 to \$536,000. The fully staffed base case requires about \$497,000 with the base startup budget. These amounts describe financing needs, not available capital or an instruction to raise/spend it.

The three-month reserve is a planning buffer, not a promise that a failing venue can operate indefinitely. In the member-lounge conservative case, month-12 burn remains about \$6,043. Review forecast cash weekly; do not continue a losing format simply because a theoretical reserve remains. A delayed opening also consumes preopening rent, payroll and financing costs and must be modeled separately.

8. Stages and decision gates

The thresholds below are proposed management rules. They are not market facts.

Stage 1: Concept and paid evening pilot

Use six hosted four-hour evenings over roughly four weeks at a venue with suitable use, food arrangements, staffing and insurance. Test quiet work, social games and mixed nights. The proposal assumes 24 seats, 18 paid visits per event at \$18, two paid hosts for five hours each and no food margin for Late Company.

Budget: approximately \$3,494 gross outlay, \$1,944 ticket revenue and \$1,550 net learning cost including \$600 reusable setup and \$400 contingency. Ticket-only event break-even is roughly 24 visitors before those setup costs. The point is to validate recurring paid demand, not claim profitable small events. Venue pricing and terms remain unquoted.

Proceed only if the final four nights average at least 75% paid seat utilization, at least 30% of eligible attendees return within 30 days, at least 60 unique people attend across the series, and both solo visitors and quiet users report a usable experience. Measure price resistance, noise complaints, arrival time, dwell, food needs, cleaning time and host workload. A free RSVP is not a paid customer.

If the gates fail, adjust audience, hours, format or price and run a smaller second test. Do not move directly into a lease.

Stage 2: Recurring hosted residency

Run a limited recurring schedule inside an existing approved venue or short-term arrangement for 8 to 12 weeks. Sell only access that can be delivered there. Test the monthly visit plans, onboarding, cancellations and booking limits.

Proceed to permanent-space diligence when recurring memberships and pass use produce at least eight weeks of positive direct session contribution after venue cost and all event labor; mature eligible members show at least 70% retention through two renewal opportunities; and a location-specific model has credible acquisition and capacity assumptions. Distinguish this direct contribution from permanent-site overhead.

A candidate permanent model should show a path to at least 1.2 times break-even contribution using demonstrated member behavior. For the lean base economics and 455 monthly passes, this is about 150 members. This arithmetic is a screening target, not proof that 455 monthly passes will occur.

Stage 3: Permanent venue diligence

Obtain written conditional approvals and itemized quotes. Validate evening parking and safety in person, acoustic separation, entrances, bathrooms, utilities, HVAC schedule and true all-in occupancy cost. Use lease contingencies where professionally advised. No binding commitment until the selected model can be financed through its downside cash need and reserves without treating unearned customer funds as surplus.

Re-run every scenario with actual rent, code/buildout work, equipment, insurance, response coverage and staffing requirements. If restricted access is rejected, compare a shorter hosted-only venue with the fully staffed model instead of assuming the labor saving survives.

Stage 4: Controlled member access

Introduce any approved restricted access in a limited window with trained members, a tested response service, logs, clear support and immediate closure rules. Start with a smaller cohort and inspect the space before and after each window. Expand only after incident handling, cleaning, access reliability, demand and member comfort are proven.

Require eight weeks with no unresolved critical safety/food condition, verified response performance, shrink/waste within the modeled rate, and fewer than 5% of intended reservations denied in either zone. Pause membership sales if either zone exceeds 80% typical peak utilization until capacity or timing improves.

9. Risks and responses

Risk	Practical response
People like the idea but do not return at the price	Paid pilot, renewal data and explicit stop gates
Unstaffed access is not approved or insurable	Resolve classification early; retain a hosted-only option and budget closure
Loneliness promise depends on active hospitality	Schedule hosts and recurring rituals; observe newcomers' experience
Quiet and social uses conflict	Acoustic separation, calls policy, zone limits and host intervention
Overnight incident or tailgating	Individual access, orientation, a real response service, backup coverage and closure rules
Food loss or temperature failure	Narrow approved menu, logs, alarms, approved lockout equipment and human checks

Risk	Practical response
Owner becomes the unpaid emergency worker	Paid manager and response lines, written coverage rota, workload tracked weekly
Staffing or cleaning exceeds lean allowances	Measure each task in pilots and add coverage before expanding hours
Buildout or occupancy costs exceed plan	Second-generation space, contingency, inspections and fixed-scope quotes
Capacity is oversold	Capped visit plans, zone bookings, measured dwell and membership sales limits
Personal information is over-collected	Minimal data, clear consent/retention, restricted access to logs and footage
Cash runs short before demand matures	Monthly scenario review, cash forecast, milestone funding and stop-loss decisions

10. Evidence and next decisions

Verified research: Michigan wage guidance; MDARD licensing and PIC guidance; the reviewed Food Law provisions; DTE business pricing categories; provider-reported insurance medians; and an existing local 24/7 coworking offering.

Planning assumptions: every Late Company price, cost, membership count, pass count, conversion, retention rate, food margin, schedule, seat count and capital estimate. No customer interviews, paid pilot results, site-specific permissions or binding quotes exist yet.

Next decision: choose the paid pilot audience and provisional evening format. A permanent lease and 24-hour launch are later decisions.

Source pages were checked October 3, 2026. The financial inputs and all 108 monthly scenario rows are preserved in economics.json.

Location research

Read the asking terms carefully. None of these properties has verified permission for the proposed 24-hour use.

Research date: 2026-10-03. These are property leads, not a selected or approved location.

Recommendation

Compare Ferndale cafe reuse, Waterford low-rent conversion, and Midtown urban demand. No property selected.

No listing has verified 24-hour operating permission. Asking rents, availability and landlord terms require confirmation. The master financial model retains its own occupancy allowance; these listings do not silently replace it.

Six property leads

Area and address	Size	Asking occupancy	Availability and fit	Source
Ferndale: 22134 Woodward Ave, Ferndale, MI 48220	2,211 SF	Rent unquoted; NNN sublease	CPIX says Active, Available now, Sublease Yes, Vacant No. Handover and continued availability unconfirmed.; Best cafe infrastructure lead. Verify usable seating and quiet-room separation.	Listing
Royal Oak: 202 E 3rd St, Royal Oak, MI 48067	2,440 SF	Rent unquoted; Unknown for current 2,440 SF listing	LoopNet advertises available; listed June 3, 2026. No broker confirmation.; Useful size and restaurant reuse, conditional on quote.	Listing
Midtown Detroit: 5700 Woodward Ave, Detroit, MI 48202	1,750 SF	\$4,375/month including quoted NNN	Colliers advertises for lease. No broker confirmation.; Urban demand test; smaller than preferred complete lounge.	Listing
New Center Detroit: 6538-6540 Woodward Ave, Detroit, MI 48202	2,600 SF	\$3,467/month base; NNN	LoopNet advertises Now. Broker also markets property. No broker confirmation.; Flexible two-zone footprint; cafe conversion exposure.	Listing
Auburn Hills: 605-635 S Opdyke Rd, Auburn Hills, MI 48326	1,500 SF	\$1,750/month base; NNN	LoopNet advertises Now. No broker confirmation.; Small pilot and northern Oakland comparison. Cafe conversion unknown.	Listing
Waterford: 3520-3560 Pontiac Lake Rd, Waterford, MI 48328	2,000 SF	\$1,700/month; Modified gross	LoopNet advertises Now, 1-5 year term. No broker confirmation.; Lowest quoted rent among shortlisted 2,000+ SF suites. Food conversion and demand need testing.	Listing

22134 Woodward Ave, Ferndale, MI 48220

Status: CPIX says Active, Available now, Sublease Yes, Vacant No. Handover and continued availability unconfirmed.

Fit: Best cafe infrastructure lead. Verify usable seating and quiet-room separation.

Asking occupancy: Rent unquoted; NNN sublease

Overnight permission: Not established

- Former Caribou Coffee per listing
- Existing cafe infrastructure
- 23 parking spaces advertised

Still to verify:

- Actual rent and NNN
- Sublease consent and term
- Vacant delivery
- Equipment ownership and condition
- 24-hour use and parking rights

Primary listing | Retrieved 2026-10-03

202 E 3rd St, Royal Oak, MI 48067

Status: LoopNet advertises available; listed June 3, 2026. No broker confirmation.

Fit: Useful size and restaurant reuse, conditional on quote.

Asking occupancy: Rent unquoted; Unknown for current 2,440 SF listing

Overnight permission: Not established

- First-floor restaurant with hood
- Designated rear parking plus nearby public parking

Source conflict: Older same-address brochure describes 6,151 SF ground floor plus 2,000 SF lower level at \$35/\$12 NNN. Those prices cannot be attached to current 2,440 SF suite.

Still to verify:

- Current rent
- Exclusive parking count and overnight rights
- 24-hour permission
- Noise to neighbors

Primary listing | Retrieved 2026-10-03

5700 Woodward Ave, Detroit, MI 48202

Status: Colliers advertises for lease. No broker confirmation.

Fit: Urban demand test; smaller than preferred complete lounge.

Asking occupancy: \$4,375/month including quoted NNN

Overnight permission: Not established

- Renovated building with common restrooms
- Retail/restaurant/office
- \$20/SF tenant improvement allowance advertised for qualified tenants

Still to verify:

- 24-hour entrance and restroom access
- Parking
- Food infrastructure
- Allowance eligibility and reimbursement terms

Primary listing | Retrieved 2026-10-03

Corroborating source

6538-6540 Woodward Ave, Detroit, MI 48202

Status: LoopNet advertises Now. Broker also markets property. No broker confirmation.

Fit: Flexible two-zone footprint; cafe conversion exposure.

Asking occupancy: \$3,467/month base; NNN

Overnight permission: Not established

- Partial standard retail build-out

Source conflict: Broker overview says 2,155-10,165 SF; LoopNet unit table says 2,600 SF at \$16 and 2,000-7,400 SF at \$25. Use unit-table arithmetic until reconciled.

Still to verify:

- Exact demised area
- Whether unit is rear space
- NNN
- Food conversion costs
- Parking and 24-hour rights

Primary listing | Retrieved 2026-10-03

Corroborating source

605-635 S Opdyke Rd, Auburn Hills, MI 48326

Status: LoopNet advertises Now. No broker confirmation.

Fit: Small pilot and northern Oakland comparison. Cafe conversion unknown.

Asking occupancy: \$1,750/month base; NNN

Overnight permission: Not established

- Partial standard retail build-out
- Shared shopping-center parking

Source conflict: Narrative retains older 2,085-4,000 SF wording and 2023 repaving reference; live unit table shows suite 635 at 1,500 SF.

Still to verify:

- NNN
- Floor plan and usable lounge area
- Food approval
- After-hours shared parking
- 24-hour rights

Primary listing | Retrieved 2026-10-03

3520-3560 Pontiac Lake Rd, Waterford, MI 48328

Status: LoopNet advertises Now, 1-5 year term. No broker confirmation.

Fit: Lowest quoted rent among shortlisted 2,000+ SF suites. Food conversion and demand need testing.

Asking occupancy: \$1,700/month; Modified gross

Overnight permission: Not established

- Retail/office/service layout
- Customer parking advertised

Still to verify:

- Which expenses modified gross includes
- Cafe plumbing/electrical
- Overnight parking rights and lighting
- 24-hour rights

Primary listing | Retrieved 2026-10-03

Area comparison

Ferndale

Priority: First property diligence

Best concept fit and strongest identified cafe infrastructure lead.

Evidence: Former cafe at 22134 Woodward; active downtown cafe scene.

Risk: Sublease handover and 24-hour review unresolved; parking must be checked.

Area source 1 | Area source 2 | Area source 3

Royal Oak

Priority: Quote-dependent restaurant reuse

Good social format comparison; avoid centrality premium before overnight paid demand.

Evidence: 2,440 SF restaurant at 202 E 3rd; Dessert Oasis until 10pm and Bamboo competition.

Risk: Current rent undisclosed; street and surface lot duration limits.

Area source 1 | Area source 2 | Area source 3

Midtown Detroit

Priority: Urban demand test

Late study/work audience is a hypothesis to test.

Evidence: 5700 Woodward listing identifies Wayne State district; Cafe Sous Terre serves late on selected days.

Risk: Substitutes, parking and common-area overnight access; small suite.

Area source 1 | Area source 2

New Center Detroit

Priority: Urban backup

More footprint flexibility, with conversion risk.

Evidence: 2,600 SF unit at \$16/SF/year NNN.

Risk: No cafe fit-out established; conflicting area data; parking unknown.

Area source 1 | Area source 2

Auburn Hills

Priority: Northern Oakland comparison

Test repeat destination visits before leasing car-oriented retail.

Evidence: 1,500 SF suite at \$14/SF/year NNN; separate 4,000 SF option.

Risk: Small suite compromises quiet room; low rent does not establish food infrastructure.

Area source 1

Waterford

Priority: First low-rent comparison

Practical cost benchmark and potentially manageable first operation; demand unproven.

Evidence: 2,000 SF at \$1,700/month modified gross with parking.

Risk: Customer acquisition, conversion, included expenses, overnight lighting unknown.

Area source 1

Pontiac

Priority: Watch list

No reliable active property selected this pass.

Evidence: 31 N Saginaw source changed to leased despite for-lease search result.

Risk: Do not base plan on stale restaurant listing.

Area source 1

Ypsilanti / Ann Arbor

Priority: Secondary comparison

Promising paid pilot market, with established coworking alternatives and wider operating geography.

Evidence: City index lists 711 W Cross, 2,000 SF, \$13.25/SF/year; broker page fails to expose current listing. BOS offers selected memberships 24-hour access.

Risk: Municipal index alone does not establish availability. Ann Arbor parking and coworking alternatives.

Area source 1 | Area source 2 | Area source 3 | Area source 4

Existing alternatives

These businesses are comparison points. Verify their current hours, prices and access rules before drawing a market conclusion.

Bamboo

Type: Coworking

24/7 member access except Downtown Detroit; front desks staffed M-F 9am-5pm. Home-location and reciprocal access conditions differ.

Business source

Dessert Oasis Royal Oak

Type: Evening cafe

115 S Main St, Royal Oak, MI 48067

Daily 7am-10pm; Wednesday open mic 7pm-9pm.

Business source

Cafe Sous Terre

Type: Evening cafe/cocktail bar

445 W Forest Ave, Detroit, MI 48201

M-Tu 8am-5pm; W-Su 8am-11pm.

Business source

Alba Night Cafe

Type: Alcohol-free evening event

2124 Michigan Ave, Detroit, MI 48216

Second Fridays 9pm-midnight.

Business source

Opal Grove Games

Type: Social games

880 W McNichols Rd, Detroit, MI 48203

Friday/Saturday closing midnight.

Business source

The Back Office Studio

Type: Coworking

13 North Washington St, Ypsilanti, MI 48197

Dedicated desk and private office memberships receive 24-hour access.

Business source

CRED Cafe

Type: Cafe, lounge, coworking and speakeasy

6340 E Jefferson Ave, Detroit, MI 48207

Operator describes hybrid coffee/coworking and evening format; hours unverified.

Business source

Municipal sources

- Zoning determination and certificate of occupancy process; special land use review where applicable. Municipal source
- Hours of operation among factors in more intensive change-of-use review. Municipal source
- Street maximum 3 hours; surface lots 4 hours; older Center Street deck section closed during demolition. Municipal source
- Business/employee permit program exists; does not prove guest overnight rights. Municipal source
- Food establishment plan review information and forms. Municipal source
- General guidance says retail food establishments require person in charge during all operating hours. Proposed model needs determination. Municipal source

Evidence gaps

- No broker, landlord or municipal contact
- No confirmed vacant delivery or executed quote
- No 24-hour mixed-use permission
- No nighttime footfall or paid demand counts
- No building inspection or food conversion estimate
- No overnight parking rights verified
- No insurance/utilities quotes

Excluded or stale leads

- address: 31 N Saginaw St, Pontiac, MI 48342; reason: Opened source reports lease signed/no longer for lease July 27, 2026.; source url: <https://www.crexix.com/lease/properties/1041271/michigan-former-ally-cat>
- address: 30252 Woodward Ave, Royal Oak, MI 48073; reason: TenantBase and older broker brochure conflict on suite size; Crexi result says no longer for lease September 9, 2025. Excluded until reconciled.; source url: <https://www.crexix.com/lease/properties/135204/michigan-woodwardside-plaza>
- address: 25-27 N Washington St, Ypsilanti, MI 48197; reason: Indexed lease result redirects to homepage when opened. Not treated as a current verified listing.; source url: <https://www.showcase.com/25-27-n-washington-st-ypsilanti-mi-48197/34032657/>

Financial source register

Research checked 2026-10-03. The complete monthly model is provided as a separate JSON download.

Michigan MDARD food safety manager knowledge and person in charge

Opened directly and read relevant text 2026-10-03; no agency approval for this concept

<https://www.michigan.gov/mdard/food-dairy/foodlaw/changesfactsheets/factsheets/food-safety-manager-knowledge-person-in-charge>

Michigan Food Law, Act 92 of 2000, micro market definition section 289.1109

Opened directly and read relevant text 2026-10-03; no agency approval for this concept

<https://hercules-milenia.legislature.mi.gov/documents/mcl/pdf/MCL-ACT-92-OF-2000.pdf>

Bamboo coworking

Verified 24/7 coworking offering; no price benchmark used

<https://www.bamboocowork.com/>

Michigan LEO Minimum Wage and Overtime

Opened directly; \$13.73 effective 2026-01-01 and scheduled \$15 for 2027. Model wage assumptions exceed these figures.

<https://www.michigan.gov/leo/bureaus-agencies/ber/wage-and-hour/min-wage>

Michigan MDARD Food Industry Licenses

Opened directly; most food/drink businesses require licensing; limited exemptions do not establish this concept's eligibility.

<https://www.michigan.gov/mdard/licensing/food>

DTE business pricing options

Provider lists D3/D4 and gas options; \$1,400 utilities remains an assumption because no unit, historic bills or load profile selected.

<https://www.dteenergy.com/us/en/business/service-request/pricing/rate-options.html>

Insureon coffee shop and cafe insurance cost data

Provider's published median BOP \$126/month and cyber \$129/month, updated September 16, 2026. Typical small cafe data do not price overnight coworking, access control or unattended operations. Model \$700/month is an allowance, not a quote.

<https://www.insureon.com/food-business-insurance/coffee-shops-cafes/cost>

BUNN commercial bean-to-cup equipment

Manufacturer product category verified; no binding or installation-inclusive price verified. Model equipment budget remains an assumption.

<https://commercial.bunn.com/equipment/bean-to-cup>

Analyst planning inputs

No binding equipment, insurance, payroll, rent or utility quote obtained. Demand, conversion, price and program figures are unvalidated assumptions.